MeritQuant — Autonomous Trade Report

PRE-CLOSE · 3:30 PM ET · 25 Jun 2026 · 20:57 UTC

Market Assessment

Risk-on regime confirmed: VIX subdued at 18.9, positive yield curve (+0.30%), and tight HY spreads (2.76bps) signal healthy credit and constructive equity conditions. However, the portfolio is heavily concentrated in semiconductors/AI-infrastructure, which is showing broad drawdowns (AVGO -7.3%, MSFT -7.0%, GOOGL -6.6%), suggesting a sector-specific rotation/de-rating despite the favorable macro backdrop. No new capital should be deployed into the same crowded theme.

REGIME: RISK-ON

Macro Snapshot

Indicator	Value	Indicator	Value
VIX	18.89	US Dollar (DXY)	101.44
Yield Curve 10Y-2Y	0.30	HY Credit (bps)	2.76
10Y Treasury (%)	4.41	Fed Funds Rate (%)	3.63

Trade Decisions

EXIT — MSFT $0 | Conviction 7/10 | Tier 3

Thesis: (1) Despite risk-on macro, MSFT is down -7.0%, approaching the 8% stop loss with no fresh idiosyncratic catalyst in the scanner to justify continued holding. (2) No company-level positive trigger appears in current signals; the thesis (balance-sheet quality + AI optionality) has not failed fundamentally but has lost technical confirmation. (3) Without scanner support and with RSI/momentum deteriorating across the AI-infra cohort, this position is a marginal hold. (4) Exiting frees ~$16.7K to reduce dangerous overconcentration in the same AI/cloud/semi theme that is collectively bleeding. (5) Primary risk of exiting is missing a snapback rally, but discipline dictates trimming the weakest non-catalyzed position to protect capital and reduce correlated drawdown — re-entry remains available if a catalyst materializes.
Catalyst: No active catalyst; thesis lacks technical confirmation.
Technical Setup: Down -7.0% near 8% stop; no momentum support, deteriorating MAs.
Risk Factors: Possible snapback missed; offset by reducing portfolio correlation risk.

Portfolio Snapshot

Total: **$170,003** | Cash: **$82,670** | Positions: **5/6**

Ticker	Shares	Entry	Current	Value	P&L $	P&L %
CLOU	839.0	$21.45	$21.12	$17,719	$-281	-1.6%
AVGO	44.1	$408.61	$378.91	$16,691	$-1,309	-7.3%

TSM	40.1	$449.32	$434.99	$17,426	$-574	-3.2%
GOOGL	48.9	$368.03	$343.71	$16,811	$-1,189	-6.6%
KLAC	72.2	$235.45	$258.80	$18,686	$+1,686	+9.9%

Notes: The book is dangerously concentrated in AI/semiconductor/cloud names that are drawing down in unison despite a risk-on macro — a classic correlated-cluster risk. I am exiting MSFT (weakest non-catalyzed position near stop) to free ~$16.7K and reduce correlation, rather than deploying it back into the same theme. With $65.9K cash plus MSFT proceeds, I am deliberately NOT chasing the STRONG BUY semi/AI signals (AMAT RSI 72.5, MU 64.5, LRCX 64.7) because they overlap heavily with existing exposure and several are overbought — adding would compound concentration risk. KLAC remains the anchor strength and GOOGL/AVGO are oversold-with-catalyst holds. Awaiting either a stabilization in the cohort or a non-correlated opportunity before redeploying.
Memory applied: No prior trade history exists, so I applied framework lessons directly: never chase overbought momentum (rejected AMAT/MU/LRCX despite STRONG BUY), avoid sector overlap (no new semi adds into an already semi-heavy book), respect the 8% stop mechanically (exit MSFT before it breaches rather than averaging down), and require both catalyst + chart confirmation (held GOOGL/AVGO on oversold RSI + earnings catalysts but did not add into the crowded cluster).